

Daily Watchlist Builder

A step-by-step guide to building your trading watchlist every morning.

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Your watchlist is your preparation. A focused, well-built watchlist of 3-5 names is infinitely more valuable than a massive list of 50 stocks you cannot track. Here is the exact process for building a high-quality watchlist every day before the open.

Step 1: Run Your Pre-Market Scanner

Filter for stocks with significant pre-market volume — at least 2x their normal pre-market average. These are the stocks that something is happening to. Volume is the first signal. No volume, no interest, skip it.

Step 2: Check for a Catalyst

Every strong pre-market mover should have a reason. Earnings beat, FDA approval, major contract, partnership announcement, analyst upgrade. Random gap ups with no news have low follow-through. Catalyst-driven movers have urgency behind them.

Step 3: Check the Technical Setup

Is the stock at a key level? Breaking out of a base? Testing major support? The best trades combine a catalyst with a clean technical setup. A stock gapping up to all-time highs on earnings on 5x volume is a completely different trade than a random gap with no structure.

Step 4: Rank and Cut

After filtering, you may have 10-15 names. Rank them by conviction: catalyst quality, technical setup quality, float and short interest if relevant. Cut to your best 3-5. Ignore everything else once the market opens.

WATCHLIST QUALITY FILTERS

- Pre-market volume: minimum 2x average pre-market volume
- Clear catalyst: earnings, news, or sector move

→ Clean technical level: breakout, support test, or pattern

→ Manageable float: easier to read on small and mid caps

SCANNING

→ Defined risk: you can identify a stop before the open

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WHAT TO AVOID

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→ Stocks moving on no news — hard to hold and hard to read

→ Too many correlated names — sector bets compound risk

→ Stocks with no defined technical level — no stop means no trade

→ Chasing names already up 20% pre-market with no pullback setup